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This Question: 1 pt 1 of 5 The following OLS assumption is most likely violated by omitted variables bias: O A. E(HiXj) = 0. OB. there are no outliers for Xi, Hi- O c. there is heteroskedasticity. O D. (X,Y),i= 1,...,n are i.i.d. draws from their joint distribution.

This Question: 1 pt 2 of 5 Consider the multiple regression model with two regressors X, and X, where both variables are determinants of the dependent variable. When omitting X, from the regression, there will be omitted variable bias for B : O A. if X2 is measured in percentages O B. if X1 and X2 are correlated. O C. always. OD. only if X2 is a dummy variable.

Consider the multiple regression model with two regressors X, and X, where both variables are determinants of the dependent variable. You first regress Yon X, only and find no relationship. However, when regressing Yon X, and X), the slope coefficient B, changes by a large amount This suggests that your first regression suffers from: O A. heteroskedasticity. OB. perfect multicollinearity. O C. dummy variable trap. OD. omitted variable bias.

This Question: 1 pt 5 of 5 If you had a two-regressor regression model, then omitting one variable that is relevant: O A. will have no effect on the coefficient of the included variable if the correlation between the excluded and the included variable is negative. O B. will always bias the

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coefficient of the included variable upward. O C. can result in a negative value for the coefficient of the included variable, even though the coefficient will have a significant positive effect on Y if the omitted variable were included. OD. makes the sum of the product between the included variable and the residuals different from 0.



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